

Morning Crop

SLC Agrícola has hit the gas

The News: A new leasing contract; Planted area to grow 14% y/y in 2025

SLC Agrícola announced this morning another land leasing contract amounting to 14.6k ha. The area is adjacent to its existing Parnaguá farm located in the state of Piauí. The leasing contract is for 15 years at “market prices”. The land is suitable for a single crop per year, currently farming soybeans, but SLC plans to also plant cotton in the future. SLC will already operate the farm in the upcoming 2024/25 crop, starting in the next few months.

Our Take: Impressive growth unleashed

In the last four months, SLC announced leasing 67k additional plantable hectares, virtually doubling the long-term annual pace they have committed to. We weren't expecting that it'd be able to get so much additional available land in such a short period. SLC has managed to escalate its asset-light business model in an agile and profitable way, and we believe the share price doesn't seem to reflect the company's growth profile.

Ultimately, based on all the land leasing deals announced since April, SLC can potentially crop up 741k ha of land in the upcoming year, representing a 14% y/y versus 2024 and an 11% 5-year CAGR. That's way more than we believe the consensus has estimated today. Even as soybean and cotton prices plunge, and assuming more normalized weather as La Niña kicks in, SLC can deliver over US\$600/ha in EBITDA, totaling over R\$2.7bn in 2025, compared to an estimated R\$2.2bn this year. This is above consensus and makes the stock a solid carryover play with a DD FCFE yield, even as commodity prices bottom. We like the idea of playing these asymmetries and are BUYers of the stock.

Table 1: SLC to add up to 67k ha of planted area in 2025, a 14% y/y growth

Date	Area added (ha)	Farm name	State	Starts on...	Production
06-Aug	14,572	Parnaguá	Piauí	2024/25	Soybean; Cotton 1st crop in the future
18-Jul	21,837	Preciosa	Mato Grosso	2024/25	Soybean and corn; Cotton in the future
29-Apr	30,734	Pioneira	Mato Grosso	2024/25	Soybean and corn; Cotton and cattle in the future
Total	67,143				
Total planted area - 2023	674,384				
Total planted area - 2024	651,716				
New planted area for 2025	741,527				

Source: Company data / BTG Pactual

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SLC Agrícola	SLCE3.SA	Buy	R\$17.52/US\$3.05	2024-08-06
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Valuation Methodology

SLC Agrícola. [BRSCLCE] - Our target price is DCF-based and discounted at a USD-nominal WACC of 7.2%